ESG **66/100** STRONG

EQUITY NOTE · PAYMENTS · 2 NOVEMBER 2026

# Adyen

ADYEN NA · Euronext Amsterdam · ISIN NL0012969182 · Payment processing, issuing and business accounts for enterprise merchants

*Growth held at 23%, yet the shares fell 13% in a day. Adyen chose to spend more to keep growing, and at €855 the price already pays for that choice.*

RATING

## Hold

| | |
|---|---|
| Target price | €890 |
| Price (02/11/2026) | €855.20 |
| Potential | +4% |
| P/E 2026E | 22.8x |

## 01 Investment thesis

**We initiate on Adyen with a HOLD rating and a target price of €890, 4% above the 2 November close of €855.20.** On 28 October Adyen reported net revenue up 23% in the third quarter, about 1% above expectations, and kept its 2026 growth guidance at 21-23%. It also cut its 2026 EBITDA margin target to 50% and dropped its medium-term margin goal. The shares fell 13.3% in one day, from €944.00 to €818.00.

### Three reasons

- **The business is still compounding.** Processed volume rose 30% to €451bn and Platforms revenue rose 46%. Net revenue has grown at least 18% in each of the last four years, from about €1.33bn in 2022 to €2.36bn in 2025.

- **Margin is now a choice, not an outcome.** Management ended the 55% goal for 2028 and gave no replacement. Our base case still returns to 56% by 2031, but each point of long-run margin is worth about €12 per share, and we no longer have a target from the company to hold it to.
- **The price is fair on our numbers.** Our DCF gives €872 when the three scenarios are weighted. The current price implies a discount rate of 12.3%, against our WACC of 12.0%. Consensus targets of €1,200 or more fit a discount rate of 9-10%.

> WHAT WOULD MAKE US WRONG
>
> If Adyen's extra spending buys faster growth, the margin guide of 50% will prove a low point and the shares are too cheap: our bull case gives €1,097, 28% above the price. If growth slows toward 15% while costs stay high, our bear case gives €635, 26% below it. We have no edge on which of the two is likelier, which is why the rating is Hold.

| INDICATOR | VALUE | BASIS |
|---|---|---|
| P/E | 22.8x | 2026E EPS €37.5 (consensus €38.04: 22.5x) |
| EV / EBITDA | 16.4x | 2026E EBITDA €1,436m, EV €23.5bn after own net cash |
| EV / EBITDA (last 12 months) | 17.5x | EBITDA H2 2025 plus H1 2026 €1,344m |
| EV / Net revenue | 8.2x | 2026E net revenue €2.87bn |
| Free cash flow yield (FCFF) | 3.8% | 2026E unlevered FCF €892m on EV (our model) |
| Dividend yield | 0% | No dividend paid |

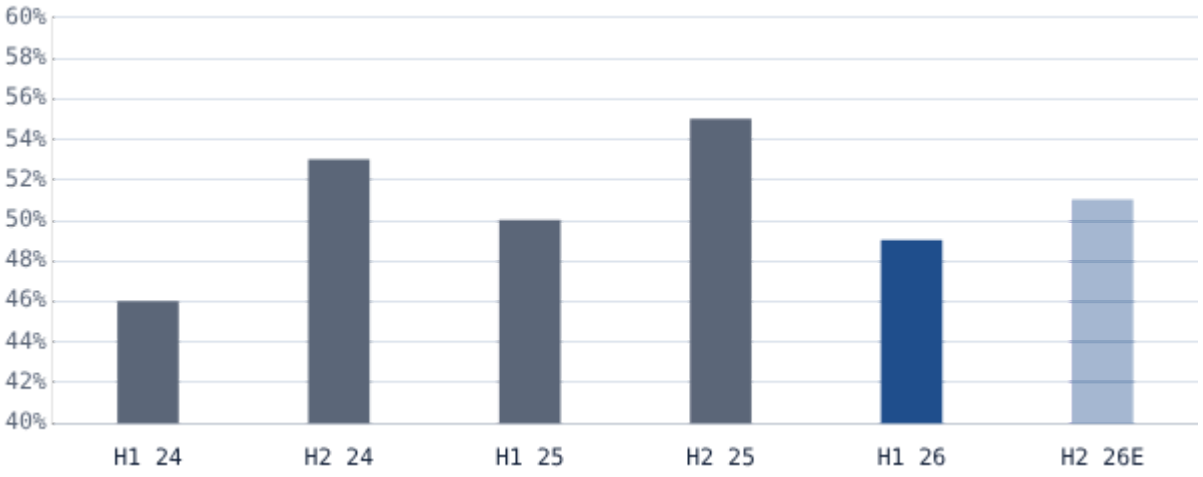
## 02 The surprise: growth on plan, margin reset

Adyen's third-quarter business update on 28 October had two messages. The first was good. Net revenue was €738.1m, up 23% (22% at constant currency), and processed volume was €451.1bn, up 30%. The second was the one the market reacted to. Adyen now expects a 2026 EBITDA margin of 50%, said that it is accelerating investment in its teams, platform and products, and discontinued its medium-term EBITDA objective. In August it had guided to a margin one point below 2025 (53%), so about 52%. Some press reports give 55% as the earlier 2026 figure; that was the 2028 ambition, not the 2026 guide.

Management gave two reasons: strong merchant interest in its combined offer of payments, loyalty, billing and financial products, and the cost of absorbing

Talon.One and Orb, the two companies it bought on 1 July. Capex stays near 7% of net revenue in 2026. Total headcount was 5,596 at the end of September, including 399 people who joined with the two acquisitions. The shares closed at €944.00 on 27 October, €818.00 on 28 October and €815.90 on 29 October, then recovered to €855.20 by 2 November. Several brokers cut targets (Susquehanna to €900, UBS to €1,300, Goldman Sachs to €1,600) while keeping Buy ratings, apart from Susquehanna's Hold.

Exhibit 1 **EBITDA margin by half-year, H1 2024 to H2 2026E**




Adyen half-year releases (H2 2024 and H1 2025 derived from full-year and half-year figures). H2 2026E is the margin implied by the 50% full-year guide and H1 2026 EBITDA of €641.5m; it is our arithmetic, not a company figure.

| Q3 2026 | Q3 2026 | CHANGE | COMMENT |
|---|---|---|---|
| **Net revenue (€m)** | **738.1** | **+23%** | **About 1% above consensus; +22% at constant currency** |
| Processed volume (€bn) | 451.1 | +30% | Faster than the +24% in H1 |
| Digital (€m) | 387.4 | +16% | Largest segment, slowest growth |
| Unified Commerce (€m) | 250.5 | +29% | In-person payments |
| Platforms (€m) | 100.2 | +46% | Fastest segment |
| 2026 net revenue growth guidance | 21-23% | Unchanged | Constant currency, includes the acquisitions (about 2 points in Q3) |
| 2026 EBITDA margin guidance | 50% | From about 52% | Medium-term objective discontinued; 2027 objectives due in February |

## 03 History and estimates

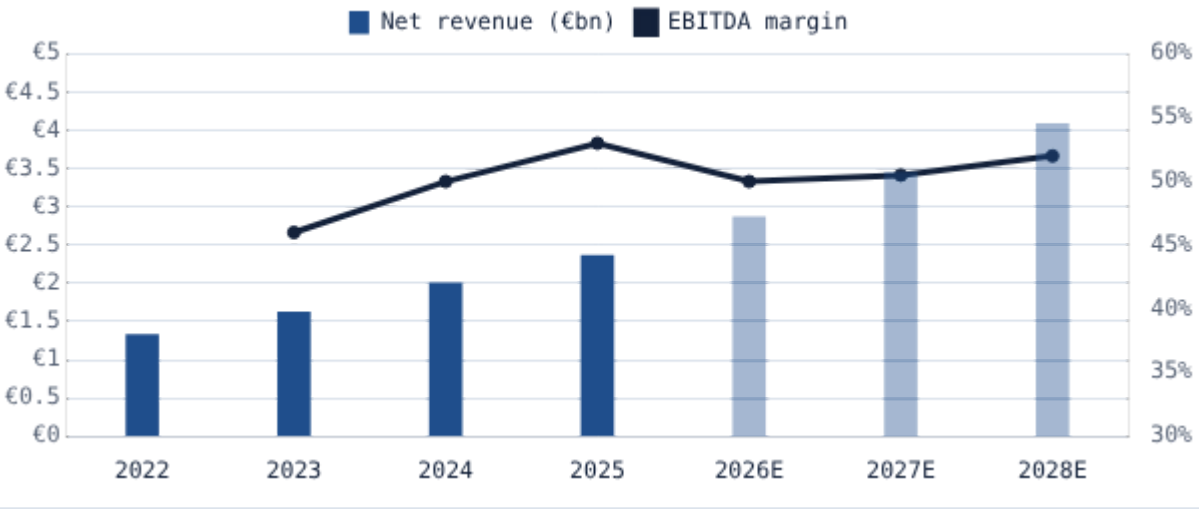
Pieter van der Does and Arnout Schuijff founded Adyen in Amsterdam in 2006, and it has been profitable since 2011. It listed on Euronext Amsterdam on 13 June 2018. It sells one payment platform to large merchants, covering online, in-store

and app payments, plus card issuing and business accounts. Net revenue grew about 32% in 2022, 22% in 2023, 23% in 2024 and 18% in 2025 (21% at constant currency). The shares fell about 20% on 12 February 2026 when H2 2025 results showed softer volume and a cautious 2026 outlook, and again on 28 October. Adyen made its first two acquisitions on 1 July 2026: Talon.One (loyalty and promotions software, €750m) and Orb (usage-based billing, US$335m). In August it also cut prices for some large merchants: the take rate (net revenue as a share of volume) fell from 16.8 to 16.2 basis points in H1 2026, according to a third-party analysis.

| €M, EXCEPT PER SHARE | 2022A | 2023A | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|---|---|
| **Net revenue** | **1,330** | **1,623** | **1,996** | **2,364** | **2,873** | **3,447** | **4,085** |
| Growth | +32% | +22% | +23% | +18% | +21.5% | +20.0% | +18.5% |
| EBITDA | n/a | 741 | 992 | 1,246 | 1,436 | 1,741 | 2,124 |
| EBITDA margin | n/a | 46% | 50% | 53% | 50.0% | 50.5% | 52.0% |
| Net income | 564 | 698 | 925 | 1,063 | 1,184 | 1,410 | 1,699 |
| EPS (€) | 18.21 | 22.52 | 29.69 | 33.72 | 37.5 | 44.7 | 53.8 |
| Capex | 99 | 70 | 101 | 126 | 201 | 224 | 245 |
| Employees (year-end) | n/a | n/a | 4,345 | n/a | c. 6,000 | n/a | n/a |

A = reported (Adyen releases for net revenue and EBITDA; Yahoo Finance for net income, EPS and capex). 2022 net revenue is the rounded "about €1.33bn" from a third-party site. 2023 net revenue and EBITDA are derived from the 2024 growth rates (+23% and +34%). Yahoo's own "revenue" and "EBITDA" lines are on a different basis (gross, with finance income) and are not used. E = Puccetti Capital Research estimate; consensus for 2026E is net revenue €2.87bn and EPS €38.04, for 2027E €3.50bn and €45.62. Adyen's net income includes finance income on cash, so it grows more slowly than EBITDA in 2026.

Exhibit 2 **Net revenue (€bn) and EBITDA margin**



### Key events and investments

- **2006:** founded in Amsterdam by Pieter van der Does and Arnout Schuijff.
- **2018:** IPO on Euronext Amsterdam on 13 June.
- **2024:** net revenue €2.0bn, net income €925m, 4,345 employees.
- **Feb 2026:** H2 2025 results; shares fall about 20% on softer volume and a cautious outlook.
- **1 Jul 2026:** acquisitions of Talon.One (€750m) and Orb (US$335m), the first in its history.
- **Aug 2026:** 2026 growth guide raised to 21-23%; capex raised to 7% of net revenue to bring forward a data centre.
- **Oct 2026:** CFO Ethan Tandowsky left on 31 August; Niclas Neglen is nominated from 1 February 2027.

## 04 Cash flow and balance sheet

| €M | 2023A | 2024A | 2025A |
|---|---|---|---|
| EBITDA | 741 | 992 | 1,246 |
| Capex | −70 | −101 | −126 |
| Capex / net revenue | 4.3% | 5.1% | 5.3% |
| **Free cash flow conversion (company)** | **n/a** | **n/a** | **87%** |
| Net income | 698 | 925 | 1,063 |

Adyen converts almost nine tenths of EBITDA into free cash flow: 87% in 2025 and 86% in H1 2026 (free cash flow €553m). Capex is mostly data centres. Management raised the 2026 figure to about 7% of net revenue because it is bringing forward a data centre planned for 2027, and says spending returns toward 5% afterwards.

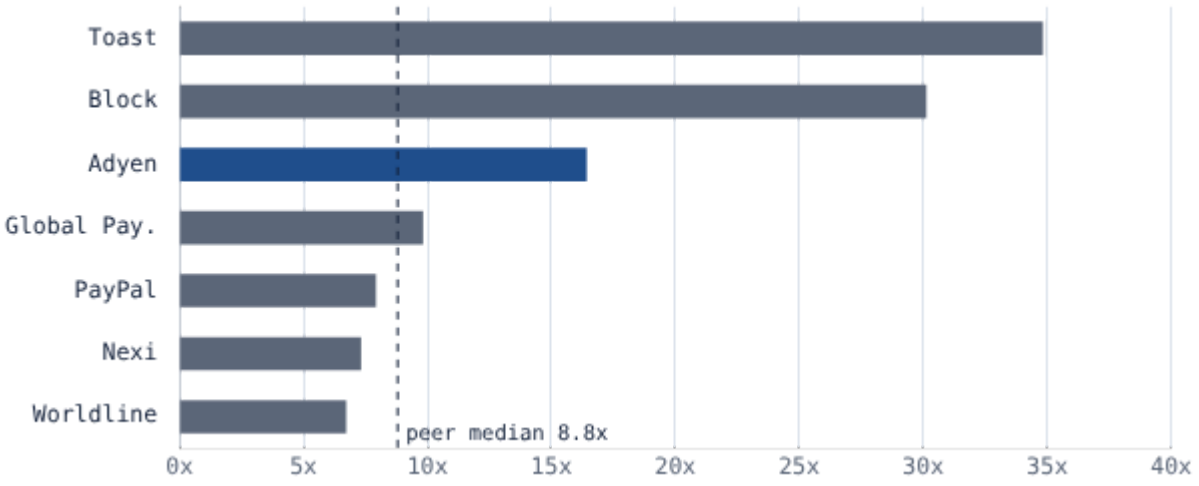
The balance sheet needs care. At 30 June Adyen held €12.4bn of cash against €8.1bn owed to merchants, which leaves about €4.9bn of its own money. The two acquisitions cost about €1.04bn on 1 July (€750m plus US$335m, at about €0.87 per dollar), and leases are about €0.41bn. We therefore use own net cash of €3.45bn. Part of it supports Adyen's banking licence, so it is not all free. Data sites that net all cash against debt show an EV of €14.9bn and 10.4x EBITDA; we think this is misleading because most of that cash belongs to merchants.

## 05 Trading comparables

| COMPANY | COUNTRY | EV/EBITDA | P/E (FWD) | EV/SALES | DATE |
|---|---|---|---|---|---|
| **Adyen (our numbers)** | **Netherlands** | **16.4x** | **22.8x** | **8.2x** | **02/11** |
| PayPal | United States | 7.9x | 10.0x | 1.50x | 02/11 |
| Block | United States | 30.1x | 17.3x | 1.86x | 02/11 |
| Toast | United States | 34.8x | 22.0x | 2.44x | 02/11 |
| Global Payments | United States | 9.8x | 6.8x | 4.29x | 02/11 |
| Nexi | Italy | 7.3x | 6.9x | 1.46x | 02/11 |
| Worldline | France | 6.7x | 2.8x | 0.63x | 02/11 |
| **Median (peers)** | | **8.8x** | **8.4x** | **1.68x** | |
| **Upper quartile (peers)** | | **25.0x** | **15.4x** | **2.8x** | |

StockAnalysis statistics pages, 2 November 2026 (US peers intraday): last-twelve-month EV/EBITDA and EV/Sales, consensus forward P/E. Adyen: EV €23.5bn (own net cash of €3.45bn) on our 2026E EBITDA and net revenue; P/E on our 2026E EPS. Quartiles by linear interpolation.

Exhibit 3 **EV/EBITDA, Adyen against payment peers**




No listed company is a clean match. Adyen has grown net revenue at about 20% a year with a 50% margin, while the others grow slower or are in trouble. Worldline and Nexi trade at 7x EBITDA because their earnings are shrinking and their debt is heavy; PayPal and Global Payments sit at 8-10x on low growth. Block and Toast trade at 30x or more because their profits are still small.

Because Adyen is a premium company, we use the upper quartile of the group: 25.0x EBITDA gives €1,246 per share and 15.4x earnings gives €579. The median

would give €511 and €316. The two methods disagree by a factor of two, so we give the comparables only 40% of the weight.

## 06 DCF: Base, Bull and Bear

| PARAMETER | VALUE |
|---|---|
| Risk-free rate (Dutch 10-year, latest dated reading) | 3.30% |
| Equity risk premium | 5.50% |
| Beta (5-year 1.91, Blume-adjusted) | 1.61 |
| Cost of equity | 12.2% |
| Cost of debt after tax (4.5% pre-tax) | 3.3% |
| Weights equity / debt (market, leases) | 98.5% / 1.5% |
| **WACC** | **12.0%** |
| Tax rate | 25.8% |
| D&A / capex / working capital | 5-5.5% / 7% to 5% / 2% of revenue growth |

| SCENARIO | GROWTH 2027-30 | MARGIN LONG RUN | G | VALUE |
|---|---|---|---|---|
| Bear | 17% to 10% | 50% | 2.5% | €635 |
| **Base** | **20% to 15.5%** | **56%** | **2.5%** | **€879** |
| Bull | 22% to 18.5% | 60% | 3.0% | €1,097 |

The model runs ten years, from 2026 to 2035, with mid-year discounting. The Dutch 10-year yield was 3.33% on 23 July, the latest dated reading we found; we use 3.30%. In the base case net revenue grows 21.5% in 2026, then slows to 8% by 2035, and reaches €9.3bn. The EBITDA margin is 50% in 2026 and rises to 56% by 2031, one point above the old 55% ambition. Adyen's EBITDA is after share-based pay, so no separate deduction is needed. Enterprise value is €24.3bn, 53% from the terminal value. Adding own net cash of €3.45bn gives equity of €27.7bn, or €879 per share. The implied exit multiple is only 7.3x EBITDA, which shows how demanding a 12% discount rate is; at a WACC of 10% the same cash flows give €1,121. Weighting the scenarios 25/50/25 gives €872. Holding the margin at 55% instead of 56% gives €867; at 50% for ever, €799.

Exhibit 4 **Sensitivity: value per share (€) by WACC and terminal growth, base case**

| WACC \ G | 1.5% | 2.0% | 2.5% | 3.0% | 3.5% |
|---|---|---|---|---|---|
| 10.0% | 1,043 | 1,080 | 1,121 | 1,168 | 1,222 |
| 11.0% | 929 | 955 | 985 | 1,019 | 1,057 |
| **12.0%** | 836 | 857 | **879** | 904 | 931 |
| 13.0% | 761 | 777 | 794 | 812 | 833 |
| 14.0% | 698 | 711 | 724 | 738 | 754 |

The current price of €855.20 is reached with a WACC of about 12.3% at 2.5% growth. A WACC of 9% gives about €1,300, close to the consensus average target.

## 07 Target price and recommendation

Exhibit 5 **Valuation range by method (€ per share)**




Bars: low to high. Dot: central value. Dashed line: price €855.20. Solid line: target €890.

| METHOD | CENTRAL | WEIGHT | LOW | HIGH | POTENTIAL |
|---|---|---|---|---|---|
| DCF (scenarios 25/50/25) | €872 | 60% | €635 | €1,097 | +2% |
| Peers EV/EBITDA (lower to upper quartile) | €1,246 | 20% | €449 | €1,246 | +46% |
| Peers P/E (lower to upper quartile) | €579 | 20% | €255 | €579 | −32% |
| *Dividend model (memo)* | *n/a* | *0%* | *n/a* | *n/a* | *n/a* |
| **Target price (weighted, rounded)** | **€890** | **100%** | | | **+4%** |

The weighted value is €888, which we round to €890. A dividend model cannot be used, as Adyen pays no dividend. The comparables pull in opposite directions,

so the DCF carries most of the weight. The target is a stable middle, not a strong view.

> RECOMMENDATION · HOLD · TARGET €890
>
> Our target is 30% below the consensus: the 34 analysts tracked by StockAnalysis have an average target of €1,262, a median of €1,200 and a Strong Buy consensus (29 of 34 at Buy or better). The gap is the discount rate. Our 12% WACC follows from a measured beta of 1.9, which reflects the extreme swings of the stock in 2026, and a mechanical method. At 9-10% we would also see €1,100-1,300. We would turn positive below about €770, or if the February 2027 guidance shows the extra spending lifting growth above 23%. We would turn negative if growth drops under 18% with the margin still near 50%.

## 08 Risks and catalysts

### Downside risks to our view

- **Cost of growth.** Management gave no new margin target. If 50% is a new floor rather than a trough, our base case is too high by roughly €80 per share.
- **Pricing.** The take rate fell to 16.2 basis points in H1 2026 after volume-tier discounts for large merchants. Further cuts would slow net revenue relative to volume.
- **Interest income and concentration.** Finance income on cash has fallen as rates normalised, and a single large customer lowered 2025 volume growth from 21% to 8%.
- **Integration and leadership.** Talon.One and Orb are new to Adyen, the CFO changes in February 2027, and the group now has an interim CFO.
- **ESG.** Our ESG score is 66/100 (Strong): MSCI A and a Sustainalytics-style risk score of 19.3 (low), no significant controversy found; no CDP score was found, so the average uses two providers.

### Catalysts

- **H2 2026 results, February 2027 (date not yet confirmed):** 2027 financial objectives and the margin path.
- **New CFO, 1 February 2027:** Niclas Neglen, subject to approvals.

- **Q1 2027 business update:** first read on whether the investment lifts growth.
- **Further broker revisions:** targets are still being cut after the update.

**Method and sources.** Reported figures from Adyen releases, Yahoo Finance (net income, EPS, capex, prices) and StockAnalysis (consensus, peers, share count). Where sources disagree we use the company's figure and say so. Estimates, own net cash and all model outputs are Puccetti Capital Research estimates. Peer data from StockAnalysis at the dates shown, not adjusted for accounting differences. Prices: Euronext Amsterdam close of 2 November 2026 via Yahoo Finance.

**Disclosure.** Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Adyen. Not investment advice.

1. Q3 2026 business update · Q3 call transcript · market reaction · MarketScreener
2. H1 2026 · H1 2026 analysis (take rate) · H2 2025 · H2 2024 · company background
3. ADYEN statistics · forecast · Yahoo financials · Dutch 10-year yield
4. Peers: PayPal · Block · Toast · Global Payments · Nexi · Worldline
5. ESG: MSCI rating (2025 annual report) · risk score 19.3, PitchBook · S&P Global score